Reading NEPSE stocks with data

A plain-language guide to what we tested, what worked, what did not, and what to look at before you buy

Data: 285 trading sessions stored in the app, 23 Jul 2025 to 30 Oct 2026, about 490 stocks, prices adjusted for bonus and right shares.

Prepared: 2 Nov 2026, from the NEPSE Top Turnover app (Pattern scanner, My rules, Run analysis now).

Read this first. Everything here comes from one year of stored prices, in a year when the overall market fell about 14%. Patterns that worked in this year may not work in the next one. Nothing in this guide is investment advice; it explains how the app's analysis works and how to read it, so you can decide for yourself.

1. The short version

We asked one question again and again: **if you had followed this rule every day, buying at the next morning's price and selling by fixed rules, would you have made money after charges?** We answered it with the stored prices, for every stock, every day.

What we found

- **Most famous trading rules lost money in NEPSE this year.** Breakouts, moving-average crosses, MACD, Supertrend, Bollinger squeezes, "accumulation near highs": all nine rule sets you gave lost on average after charges (section 6).
- **Chasing a stock that just jumped was the most reliable way to lose.** Stocks with a big MACD histogram, a 5-day gain above 3%, or wild daily swings did worst, in both halves of the year.
- **Calm, tight stocks with money quietly coming in did best.** The "quiet coil + rising turnover" pattern (section 7) made about +2.6% per trade after charges, winning about two trades in three, while buying every stock at random lost money.
- **A volume spike alone tells you a big move is coming, not which way.** Big turnover surges were followed by big drops more often than by big rallies (section 5).
- **Every stock is different.** A rule that works on average can fail on a particular stock. NTC fits the quiet-coil pattern but never moved enough to hit the +10% target (section 9).

How to use this guide

- Sections 2 to 4 explain the words, the indicators and how the testing works, in plain language.
- Sections 5 to 8 show what the data said: what to look for and what to avoid.
- Section 9 walks through real cases (API, NTC, CKHL, SINDU).
- Section 10 is a daily checklist; section 11 is about how much to buy; section 12 lists the limits of this work.

2. The basic words

Word	What it means	Why it matters here
Session	One trading day of NEPSE.	All counts ("20 sessions") are trading days, not calendar days.
Open / High / Low / Close	The first, highest, lowest and last price of the day.	Signals use the close; buying uses the next day's open.
Volume	Number of shares traded that day.	Shows how much activity there was.
Turnover	Money traded that day (Rs) = volume × price.	Better than volume to compare stocks of different prices. Rs 1 Cr = Rs 100 lakh.
Liquid	Enough is traded every day to buy and sell without moving the price much.	The scanner needs Rs 50 lakh+ average daily turnover.
T+2	Shares you buy reach your demat account two days later.	You cannot sell before the third session after buying. Every test respects this.
Charges	Broker commission (both sides), SEBON fee, DP charge.	About 0.8% of the money for a buy-and-sell. Every result here is after this, before capital-gains tax.
Target	The price at which you plan to take profit.	The scanner uses +10% above your buy price.
Stop (stop-loss)	The price at which you accept you were wrong and sell.	The scanner sells if the price closes 7% below your buy price.
Circuit	The daily limit on how far a price may move.	Stocks at the limit can't be bought or sold at a fair price that day.

Win rate is not the whole story. A rule can win 60% of its trades and still lose money if the losses are bigger than the gains. That is why every table here shows the **average result per trade after charges**, not only how often it won.

3. The indicators, in plain words

An indicator is a number calculated from past prices and volumes that tries to describe what a stock is doing. None of them predicts the future on its own. For each one: what it is, how to read it, and what **our data** said about it this year.

Indicator	What it tells you (plain words)	What our NEPSE data showed
EMA 20 / 50 / 200 (moving averages)	The average price over the last 20, 50 or 200 sessions, giving more weight to recent days. Price above its average = it has been rising; 20 above 50 = short-term trend up.	Being above or below an average did little on its own. Buying when the 20 crossed above the 50 lost money (−2.6% a trade).
RSI (14)	Momentum from 0 to 100: above 70 = has risen fast ("overbought"), below 30 = has fallen fast ("oversold").	On its own, weak. Useful in one combination: RSI below about 43 while the stock stays within 8% of its 60-day high (a dip in a strong stock).
RSI (2)	Same idea over only 2 days: below 10 = a sharp 1–2 day drop.	Short-term dip-buying in uptrends was close to break-even (−0.4%).
MACD and its histogram	The gap between a fast and a slow average. The histogram shows if that gap is widening (momentum building) or shrinking.	**Strong warning sign when large.** A histogram above 0.5% of the price (the stock has just shot up) lost about 2.2–2.5% per trade in both periods.
Bollinger bands, %b, width	A band around the 20-day average, 2 standard deviations wide. %b = where the price sits in the band (0 = bottom, 1 = top). Narrow bands = a quiet "squeeze".	Buying the break above the upper band after a squeeze lost money. A price near the lower band in a stock still near its highs did well.
ATR (average true range)	How much the price moves in a normal day, as % of the price.	**One of the clearest findings:** calm stocks (ATR ≤ 3%) made money; jumpy ones (ATR ≥ 4.4%) lost about 1.7% per trade.
20-day range	Highest high ÷ lowest low over 20 sessions: how wide the recent trading band is.	Tight ranges (≤ 12.5%) did well; wide ranges (≥ 21%) lost about 2% per trade.
Turnover / volume ratio	Recent turnover compared with the stock's normal. 2× = twice the usual money traded.	Rising turnover **in a calm stock** was the best add-on. A big surge in a stock that is already moving was a danger sign.
Up / down volume	Volume on up days ÷ volume on down days over 20 sessions. Above 1 = more buying pressure.	Did not predict direction reliably on its own this year.
OBV (on-balance volume)	A running total adding volume on up days and subtracting it on down days.	Did not help on its own.
CMF (Chaikin money flow)	Whether closes are near the day's high (buying) or low (selling), weighted by volume.	Surprisingly, a high CMF came before more big drops. Not useful alone.
Trade size	Turnover ÷ number of transactions: big average orders may mean big players.	Big orders came before big moves both up and down.
Distance from 60-day high / low	How far the price is from its recent top and bottom.	More than 17% above the 60-day low (already rallied) was bad; within 8% of the 60-day high plus a dip was good.
Market and sector move	The whole market's or the sector's change over 20 sessions.	Buying after the market or the sector had pulled back did better than buying after a hot run (sector up 4.4%+ lost 1–3%).

4. How the testing works (and why it is not hindsight)

A fair test must only use what you could have known on the day. This is how every backtest in the app works:

Step	What happens	Why
1. Signal	After a session closes, the rule is checked with prices **up to that close only**.	You can't use tomorrow's price today.
2. Buy	At the **next session's opening price**.	That is the first price you could actually get.
3. Plan fixed	Target (+10%) and stop (−7%) are set from the buy price, before anything else happens.	No adjusting after seeing the result.
4. Wait for T+2	No sale is possible for the first two sessions after buying.	NEPSE settlement rules.
5. Sell	At the first of: the day's high reaching the target (a standing sell order), a close at or below the stop, or about 20 sessions.	The exit is mechanical; the test does not pick the best day to sell.
6. Charges	0.8% is taken off every round trip.	Small gains disappear after charges.
7. One at a time	While a stock is held, new signals on it are ignored.	You can't buy what you already own; otherwise one rally is counted many times.

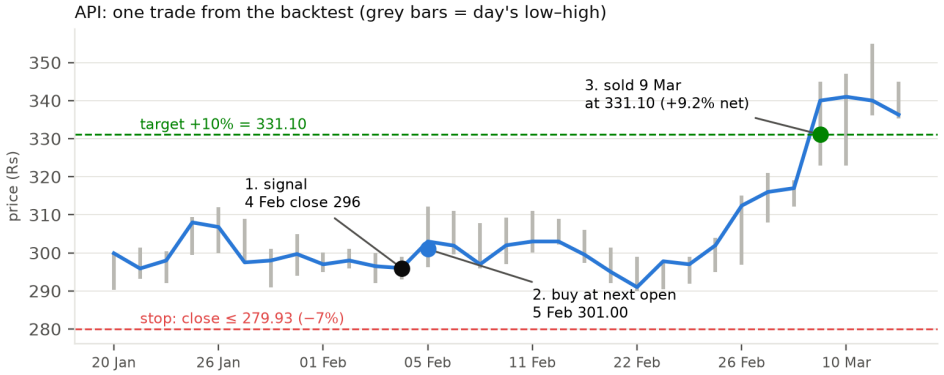


Figure 1. A real trade from the test. The signal used prices up to 4 Feb; the buy was the 5 Feb opening price; the stop was never touched; the target was reached on 9 Mar. Picks on 9, 12, 16, 17 and 23 Feb came while this trade was still open, so they are not counted as new trades.

Splitting time to avoid fooling ourselves

If you search long enough, some rule will always have worked in the past by luck. To guard against that, the history is split in time: rules are **found** on the earlier part and then **checked** on a later part they never saw. A rule we trust must make money in both. **Run analysis now** goes one step further with three parts: find (first half), choose (next quarter), and a final check (last quarter) that nothing touched.

A mistake we caught. The first version of the Past picks page counted every day's pick as a separate trade, so one API rally looked like six wins. It now counts one position per stock at a time and marks repeat picks as "Already held". The research numbers in this guide were always counted this way.

5. What the data says to look for, and to avoid

Each chart splits all liquid stock-days into five equal groups by one indicator, and shows the average trade result of each group, in the period where patterns were found (blue) and in the later check period (orange). A signal is only believable when both bars point the same way.

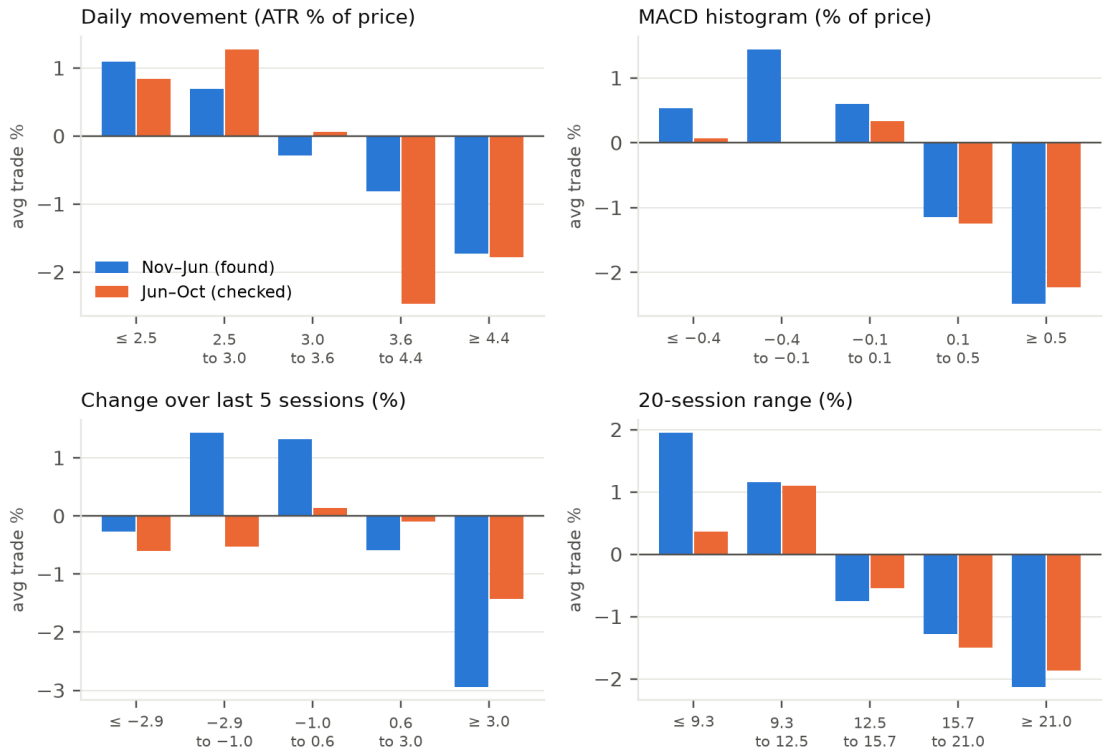


Figure 2. Average result per trade (+10% target, −7% stop, about 20 sessions, after charges) by indicator group. Calm, tight stocks (left bars of ATR and range) did best; stocks that had just jumped (right bars of MACD and 5-day change) did worst.

Look for

- Calm daily moves (ATR ≤ 3%) and a tight 20-day range (≤ 12.5%).
- The price has **not** already jumped: flat or slightly down over 5 days, MACD histogram small.
- Turnover starting to rise while the price is still calm (money arriving before the move).
- A dip (RSI around 40 or price near the lower Bollinger band) in a stock that is still near its 60-day high.
- The market or the stock's sector has pulled back rather than run up.

Avoid

- Stocks that just shot up: MACD histogram above about 0.5% of price, or 5-day gain above 3%.
- Wild stocks: daily moves (ATR) above about 4.4% or a 20-day range above 20%.
- Hot sectors: sector up more than 4.4% in 20 sessions.
- Huge turnover surges without a calm base: they come before drops more often than rallies.
- Thinly traded stocks (under Rs 50 lakh a day): you may not be able to sell when you need to.

Accumulation and distribution: what they look like in the numbers

Accumulation means patient buyers are collecting shares; **distribution** means holders are selling into demand. Both show up in volume, but volume alone cannot tell them apart, as the chart shows.

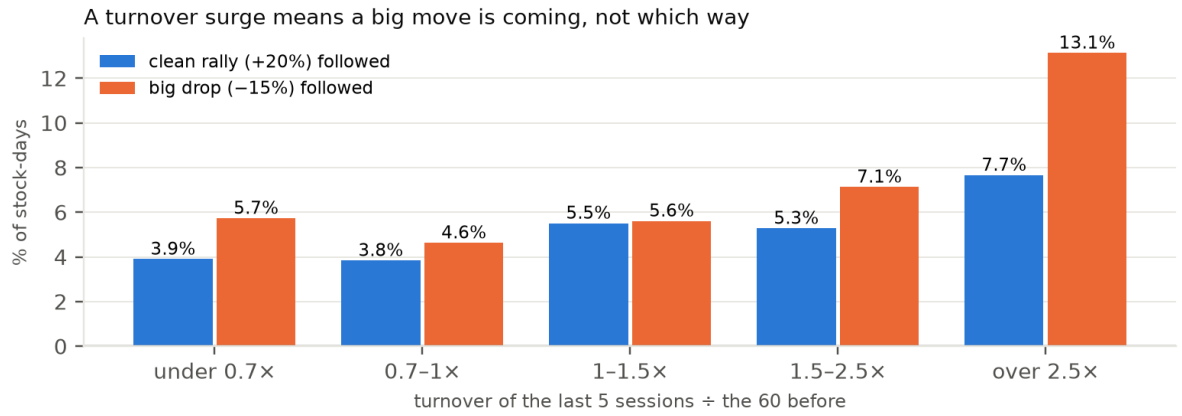


Figure 3. When turnover jumps above 2.5× normal, a 15% drop followed 13% of the time, a 20% rally only 7.7% of the time. A surge says a big move is near; the price behaviour around it says which way.

	Accumulation (what worked)	Distribution (what to avoid)
Price	Calm, sideways in a tight band; small daily moves	Already ran up; swings widen; closes slip toward the day's low
Turnover	Rising gradually (1.3× – 2× normal) while the price does not move	Very large (2.5×+) on days the price stalls or falls
Momentum (MACD, 5-day change)	Flat or slightly negative: the move has not started	Strongly positive: the move is already done
Where it sits	Near the bottom or middle of its recent range, not far above its 60-day low	Far above its lows, after a sharp run
In our data	Quiet coil: +2.6% per trade, about 2 in 3 won	Popped stocks (big MACD histogram): about −2.5% per trade, 1 in 3 won

Rule of thumb. The time to be interested is when money comes in **and the price has not yet reacted**. Once the price has jumped on heavy volume, most of the easy gain is gone and the risk of a drop is higher.

6. Your nine rule sets: what happened

Each rule was run on every liquid stock with its own entry and exit rules, one position per stock, T+2 and charges included.

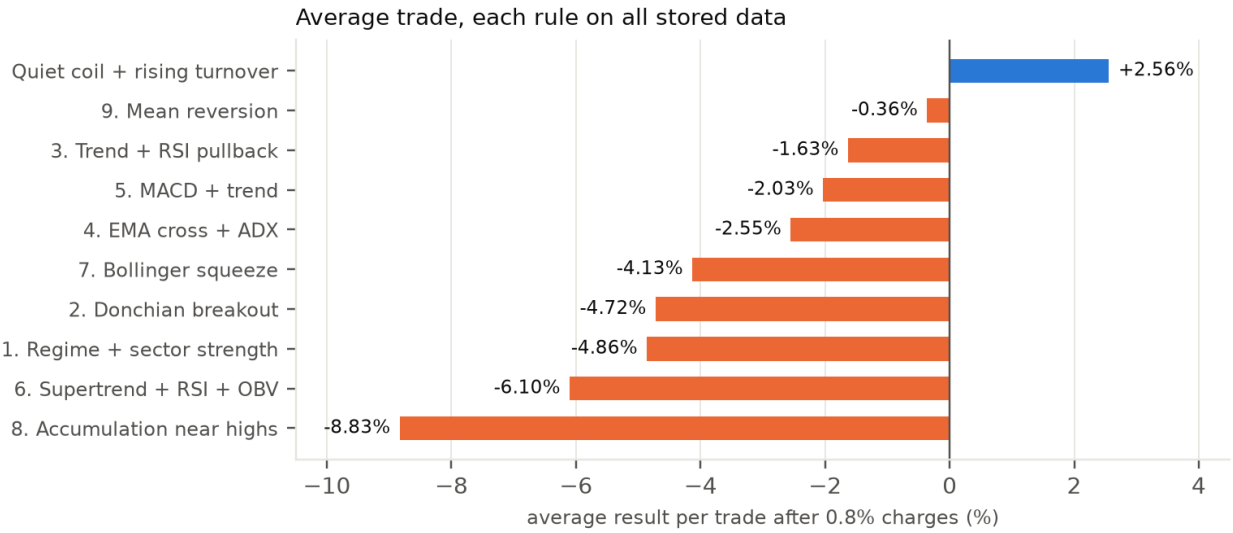


Figure 4. Average trade result, all stored data. Rules 1 (EMA 200), 3, 5 and 9 could only be tested from June 2026 because they need 200 days of history. The quiet coil uses its own exit (+10% / −7% / 20 sessions).

Rule	Idea	Result	Why it probably failed
1. Regime + sector strength	Buy the sector leaders when the market is above its average	−4.9%, no trades since June	The market filter kept it out from June (good), but earlier leaders reversed.
2. Donchian breakout + volume	Buy a new 20/55-day high on high turnover	−4.7% to −6.3%	Breakouts in a falling market mostly failed.
3. Trend + RSI pullback	Buy a dip in a stock above its 200-day average	−1.6%	Closest to break-even; few trades.
4. EMA cross + ADX	Buy when the 20 crosses above the 50 in a strong trend	−2.6%	Crosses come late, after the move.
5. MACD + trend	Buy a MACD cross above zero	−2.0%	Same: late.
6. Supertrend + RSI + OBV	Buy when Supertrend turns up	−6.1%	Bought after jumps; often stopped quickly.
7. Bollinger squeeze breakout	Buy the break out of a quiet band	−4.1%	The break above the band was often the top.
8. Accumulation near highs	CMF up, OBV at highs, near 52-week high	−8.8%	Bought tops before a falling year.
9. Short-term mean reversion	Buy a 1–2 day drop in an uptrend	−0.4%	Nearly break-even; charges ate the edge.

The common thread: most of these rules buy **after** the price has already moved (a breakout, a cross, a jump). In NEPSE this year, that was usually too late. The patterns that worked buy **before** the move, while the stock is still quiet.

7. The pattern that worked: quiet coil + rising turnover

Found by searching the data, not taken from a textbook. All seven conditions must be true at the close:

#	Condition	Plain meaning
1	Average turnover ≥ Rs 50 lakh (20 sessions), ≥ Rs 25 lakh today	Easy enough to buy and sell.
2	ATR ≤ 3% of the price	Moves calmly day to day.
3	20-session high–low range ≤ 12.5%	Has been going sideways in a tight band.
4	5-session change ≤ +0.6%	Has not jumped yet.
5	MACD histogram ≤ 0.13% of price	No momentum burst yet.
6	≤ 17% above the 60-session low	Not already far up from its bottom.
7	Last 5 sessions' turnover ≥ 1.3× the 60 before	Money is starting to come in.

The trade: buy at the next open; sell at +10% or if it closes 7% below the buy price; otherwise after about 20 sessions.

Period	Trades	Won	Average per trade
Nov 2025 – Jun 2026 (where it was found)	109	61%	+2.1%
Jun – Oct 2026 (not used to find it)	61	72%	+3.1%
All stocks, every day (for comparison), Jun – Oct	—	40%	−1.3%

Why it might work

A calm, tight stock where turnover rises but the price does not yet move often means someone is buying steadily without chasing. When the sellers at that level run out, the price can move quickly. Buying before that move, rather than after it, is what separated this pattern from the rules that failed.

Other rules the search found

Run analysis now re-searches all stored data on demand. On the first run, 8 of its top 10 rules held up in the untouched final period. The strongest were variations of **a dip in a stock that stays near its highs**: for example, a tight 20-day range (≤ 9.4%) with the price down 4.6%+ over 20 sessions (+3.2% per trade, 71% won, 28 trades in the final check), or the price near the lower Bollinger band while within 8% of the 60-day high.

Honest caveat. The quiet-coil thresholds were chosen after seeing how single indicators did in both periods, so its check period is not perfectly untouched. One year, about 60 trades in the check period, one market. The **Live** row on the Past picks page (picks recorded after each daily crawl, before anything later is known) is the real test going forward.

8. What to look at before buying a pick

- **Does it match today?** Pattern scanner → Today's picks, or Check stocks for any symbol you have in mind.
- **How did the rule do on this stock before?** Check stocks → Past picks for the stock. If it never reached the target, or lost on most trades, skip it even if it matches today.
- **Can this stock move 10%?** Very slow stocks (daily moves around 1%) rarely reach +10% in 20 sessions.
- **Is the market supportive?** Long term → Bull run checklist. In a falling market, take fewer and smaller positions.
- **Any news?** A crash or jump on news (like SINDU in September) is not a pattern. Check the company's disclosures first.
- **Is the data right?** Unusual days (moves beyond the daily limit, a day with almost no turnover) can be data errors; compare with the official site.

9. Real cases

Stock	What happened	Lesson
API	Picked 4 Feb at 296; bought 5 Feb at 301; held through a dip to 291 (−3.3%); target 331.10 reached 9 Mar: +9.2% after charges.	A clean example of the rule working. The later picks while it was held were not new trades.
NTC	Matched all seven conditions on 30 Oct (ATR 1.3%, range 4.3%, turnover 2×). But on NTC the rule had 4 earlier closed trades: 1 won, average −1.45%, never near +10%.	Check the stock's own record. A calm stock can be too calm to reach the target.
CKHL	Down 39% from its high, below its 50- and 200-day averages, falling on rising volume; turnover only about Rs 19 lakh a day.	Fails the scanner (4 of 7). Falling, thin stocks: wait for a turn, keep any position small.
SINDU	Fell 44% in three sessions in September on stock-specific news; failed rebounds since.	Fails the scanner (2 of 7). Find the reason for a crash before looking at any chart.

10. A daily routine

When	What to do in the app
After the market closes	The daily crawl stores the day's prices and the scanner records that day's picks automatically (Data → Daily crawl shows it).
Evening	Pattern scanner → Today's picks. Open Check stocks for each pick and read its past record. Look at the near misses too.
Before deciding	Bull run checklist for the market; the stock page for news, liquidity and recent behaviour.
If you buy	Write a note (My trading → Notes) for the next session with the stop as a condition, e.g. "NABIL close below 518"; the app checks it for you after each session.
Every week	Past picks & results: is the Live row still positive? If live picks start losing, stop using the rule.
Every few months	Run analysis now with the new data. Trust only rules that "held up" in the final check.

11. How much to buy

The single most important decision is not which stock but **how much**. Decide the most you are willing to lose on one trade, for example **1% of your total capital**, then size the position from the stop:

	Example
Your capital	Rs 10,00,000
Most you accept to lose on this trade (1%)	Rs 10,000
Distance to the stop	7% of the price (plus about 0.8% charges ≈ 8%)
Position size	Rs 10,000 ÷ 8% = **Rs 1,25,000**

With this sizing, even five losing trades in a row cost about 5% of your capital, and one +10% winner recovers more than one loss. Never put a large share of your money in one pick, however good the pattern looks.

12. Limits of this analysis

- **One year of data** (285 sessions), in a falling market. Fetch more history (Data → Fetch history) and run the analysis again.
- **Small samples:** about 60 trades in the check period for the quiet coil. Luck can still explain part of it.
- **Exits are slightly kind:** the target assumes your sell order fills when the day's high touches it; the stop sells at the close, while in real life you may only sell the next day, lower. If target and stop happen on the same day, the test assumes the target.
- **No taxes** (capital-gains tax) and no slippage for big orders are included.
- **Fundamentals are not used:** earnings, book value, dividends, news and regulation are outside these numbers.
- **The market changes.** What worked this year can stop working. The Live track record will tell you.

Bottom line. Use the scanner to decide **which stocks to study**, not as an automatic buy button. Prefer calm stocks with money quietly coming in, avoid chasing jumps, check each stock's own record, size every trade from its stop, and let the Live results prove the rule before you trust it with real size.

Quick reference card

Good signs	Warning signs
ATR ≤ 3% (calm)	ATR ≥ 4.4% (wild)
20-day range ≤ 12.5% (tight)	20-day range ≥ 21% (loose)
5-day change flat (≤ +0.6%)	5-day gain ≥ 3% (already jumped)
MACD histogram small (≤ 0.13%)	MACD histogram ≥ 0.5% (chasing)
Turnover 1.3×+ while the price is calm	Turnover surge 2.5×+ with a big move
≤ 17% above the 60-day low	Far above the 60-day low
Dip (RSI ~40) while near the 60-day high	Sector up 4.4%+ in 20 sessions
Rs 50 lakh+ traded a day	Thin trading, news-driven crash or jump

Trade plan used in every test	
Signal	at the close, data up to that day only
Buy	next session's open
Target	+10% (standing sell order)
Stop	a close 7% below the buy price
Time limit	about 20 sessions
Earliest sale	third session after buying (T+2)
Charges	0.8% per round trip, before tax